

AI TRANSFORMATION STRATEGIES



Lionel Gourvitch - Microsoft | LinkedIn

WHAT DO YOU EXPECT





Interactive



Avoid distraction



Ask Questions



Be on time

Learning outcomes

At the end of this module, you will have gained understating of how to :

- Diagnose an organisation's AI readiness
- Design the right operating model for AI Transformation
- Create the AI portfolio strategy
- Plan the change management for success
- Shape the financial model
- Engage with C-levels

Evaluation Model

- 70% Written Exam: No AI, no internet, no documentation. An individual written case study of 4 to 7 open questions: finding the planted flaws in an AI generated strategy memo, applying a named framework, and defending a directional commitment.

- 30% Oral Project: teams of 3-4 present for 20 minutes (15 pitch + 5 Q&A) the readiness assessment with bottleneck, the operating-model recommendation, and a preliminary portfolio one-pager on the supplied dossier of a real company

Agenda

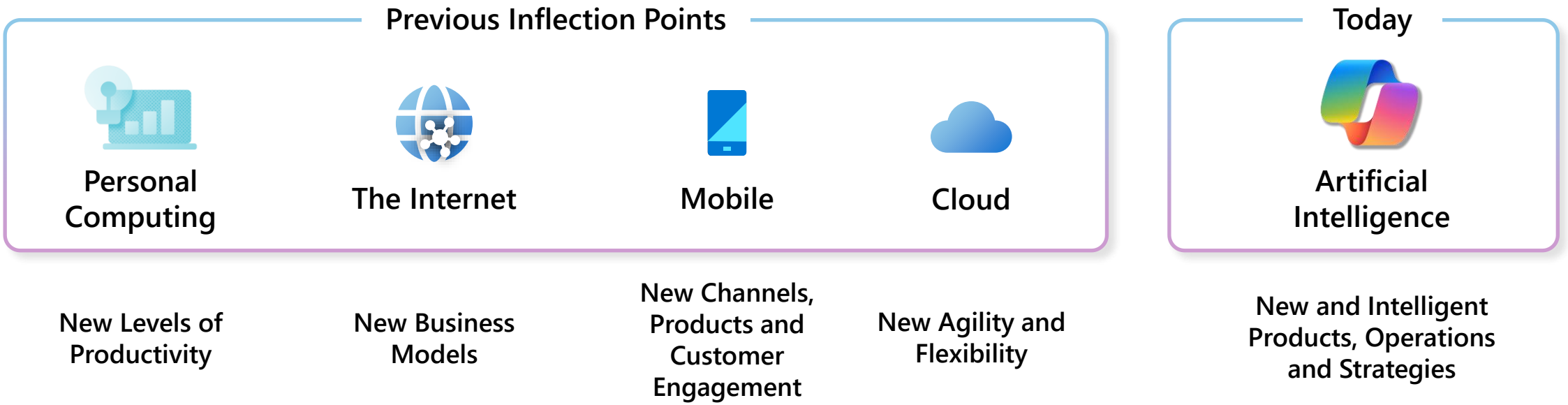
- 5/10 : Introduction & AI Readiness
- 12/10 : Operating model & portfolio
- 19/10 : Investment allocation
- 26/10 : Change management & executive engagement
- 2/11 : Written exam + wrap up
- 16/11 : Oral exam

Introduction

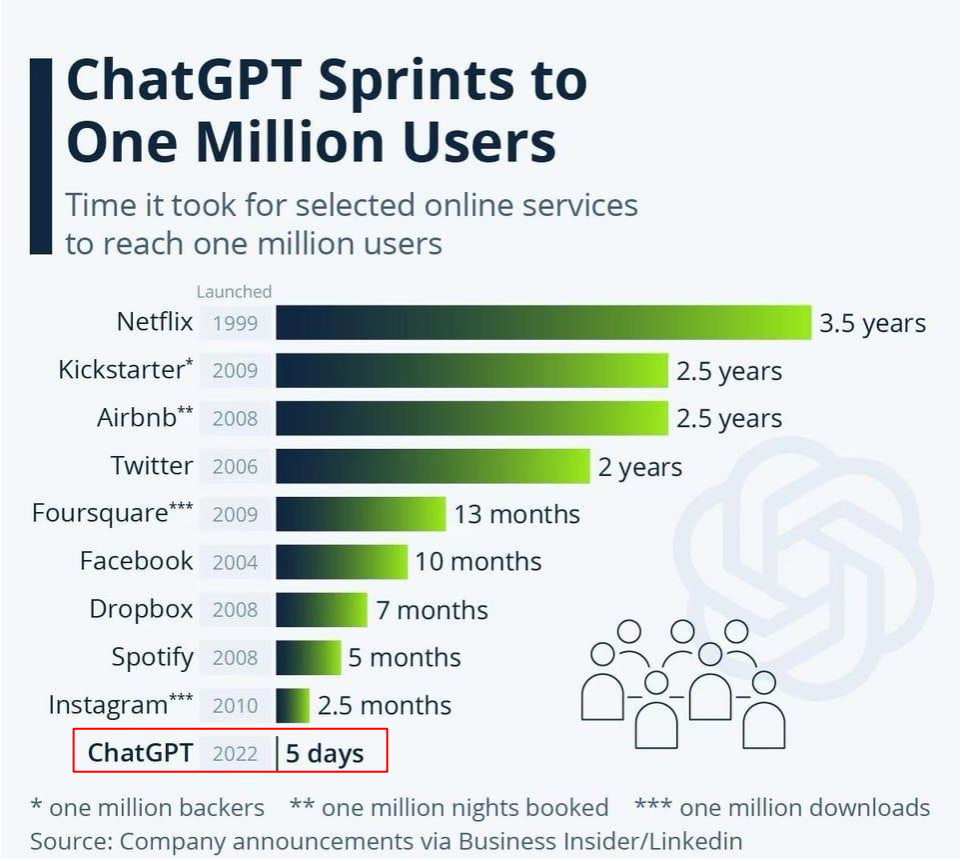
Why are we here today ?

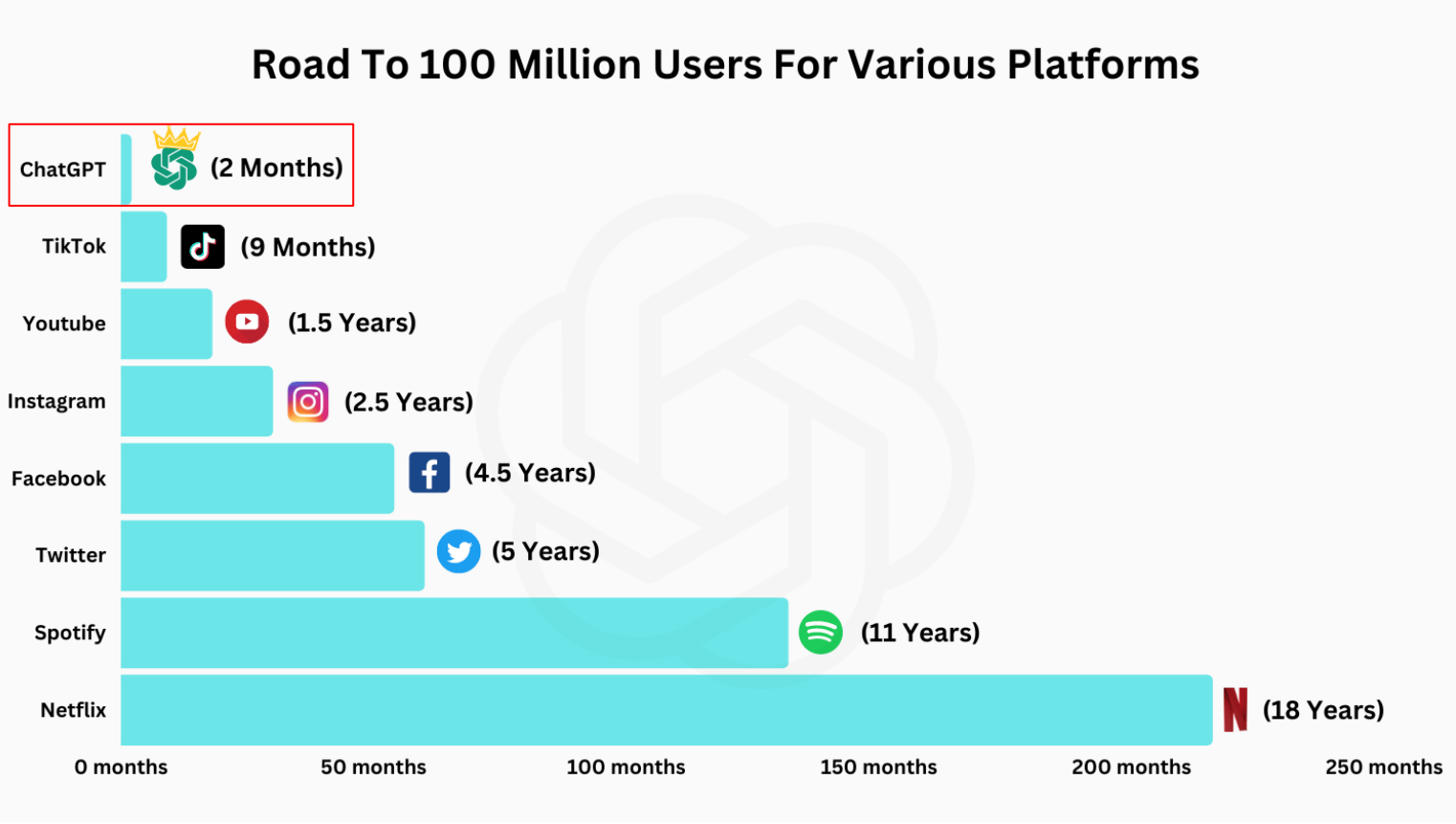
Technology has created inflection points over time with significant impact on business and growth.

AI unique capabilities to understand, reason and learn has the power to impact all industries rapidly.



AI is driving new ways of adoption





Sources : Statistica; DemandSage

AI creates new economic and social paradigm making it a top priority for business and political leaders worldwide.

7% **GDP increase over the next decade ***

Nearly three quarters of CEOs say that they are their organization's main decision maker on AI, twice the share as last year. **

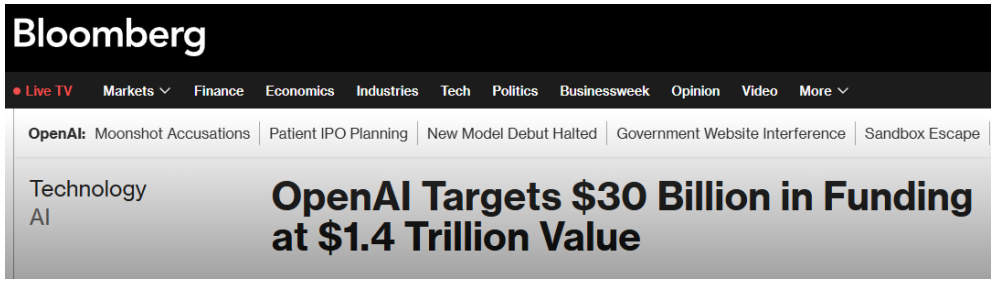
WORLD ECONOMIC FORUM Annual Meeting Davos 2026

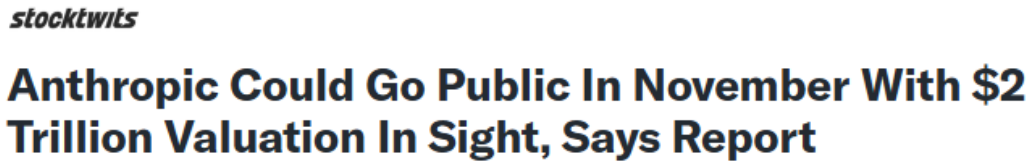
1. **AI is now a CEO problem**
2. Scaling AI remains difficult despite massive investment
3. AI as national economic infrastructure
4. Energy demand and infrastructure pressure
5. AI as a driver of workforce
6. Leadership lessons emphasized human-AI collaboration
7. Global risk assessments elevated AI concerns

* The World Economic Forum prediction ** As AI Investments Surge, CEOs Take the Lead | BCG

AI leads a new wave of value opportunities

#	Company	Market Cap (USD)	Industry
1	NVIDIA	$5.65 trillion	Semiconductors (Technology)
2	Apple	$4.87 trillion	Consumer Electronics (Technology)
3	Alphabet (Google)	$4.19 trillion	Internet Services (Communication Services)
4	Microsoft	$3.83 trillion	Software (Technology)
5	Amazon	$2.71 trillion	E-commerce & Cloud (Consumer Discretionary)
6	SpaceX	$2.16 trillion	Aerospace & Defense (Industrials)
7	TSMC	$2.10 trillion	Semiconductors (Technology)
8	Meta Platforms	$1.85 trillion	Social Media (Communication Services)
9	Broadcom	$1.70 trillion	Semiconductors (Technology)
10	Tesla	$1.48 trillion	Automotive & Clean Energy (Consumer Discretionary)







Capital invested in AI to date : over $2,5Tr (incl. DC)
Forecast is $5Tr within the next 2 years

Ok but why bother if I’m not in tech?

Klarna strategic shift: Data&AI as the backbone of the company operating model, agentic as execution layer.

"Transformational"

February 2024

Generative AI adoption for customer services

- The AI assistant has had **2.3 million conversations, two-thirds of Klarna's customer service chats**
- It is doing the equivalent work of **700 full-time agents, operating 24/7 in 35 languages for 23 markets**
- It is on par with human agents in regard to customer satisfaction score
- It is more accurate in errand resolution, **leading to a 25% drop in repeat inquiries**
- Customers now **resolve their errands in less than 2 mins compared to 11 mins previously**
- It's estimated to drive a **$40 million USD in profit** improvement to Klarna in 2024

March 2025

Data as the foundation, AI as the engine of the company transformation

- **"SaaS is dead"** - 1200 SaaS shutdown (savings estimated to **$40 - $80 million USD** *)
- Keeping data in SaaS results in data fragmentation
- Put things together, connect knowledge, and **remove silos**
- **Revenue per employee grew 4.3x**

January 2026

Agentic as the fabric of business process driven by humans

- "Systems of records will die in an agentic world" – Klarna CEO
- "We think it's going to be the future to offer human support—it's going to be like the VIP treatment."

* No public information, estimation based on industry benchmarks

Teleperformance
each interaction matters



← WRITING

— APPS

Marc Benioff Questions Klarna's Decision to Drop Salesforce, Workday for AI: 'Humans Aren't Going Away'

By **Ken Yeung** · September 14, 2024 · 3 min read

salesforce

So how can companies cope with it ?

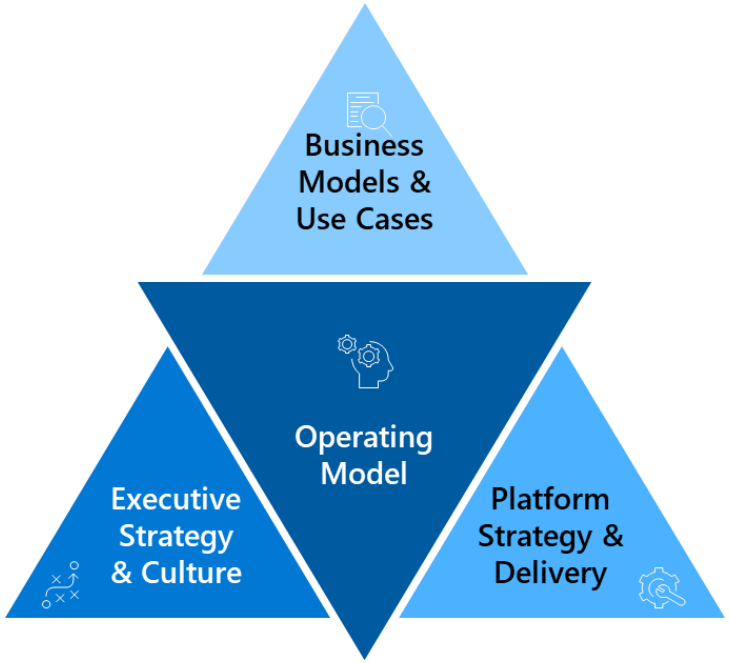
Most companies fails to deliver value from AI. Successful companies changed organizational capabilities to AI-first.

Start with clarity, prioritize high impact use cases, scale the platform, govern with agility.

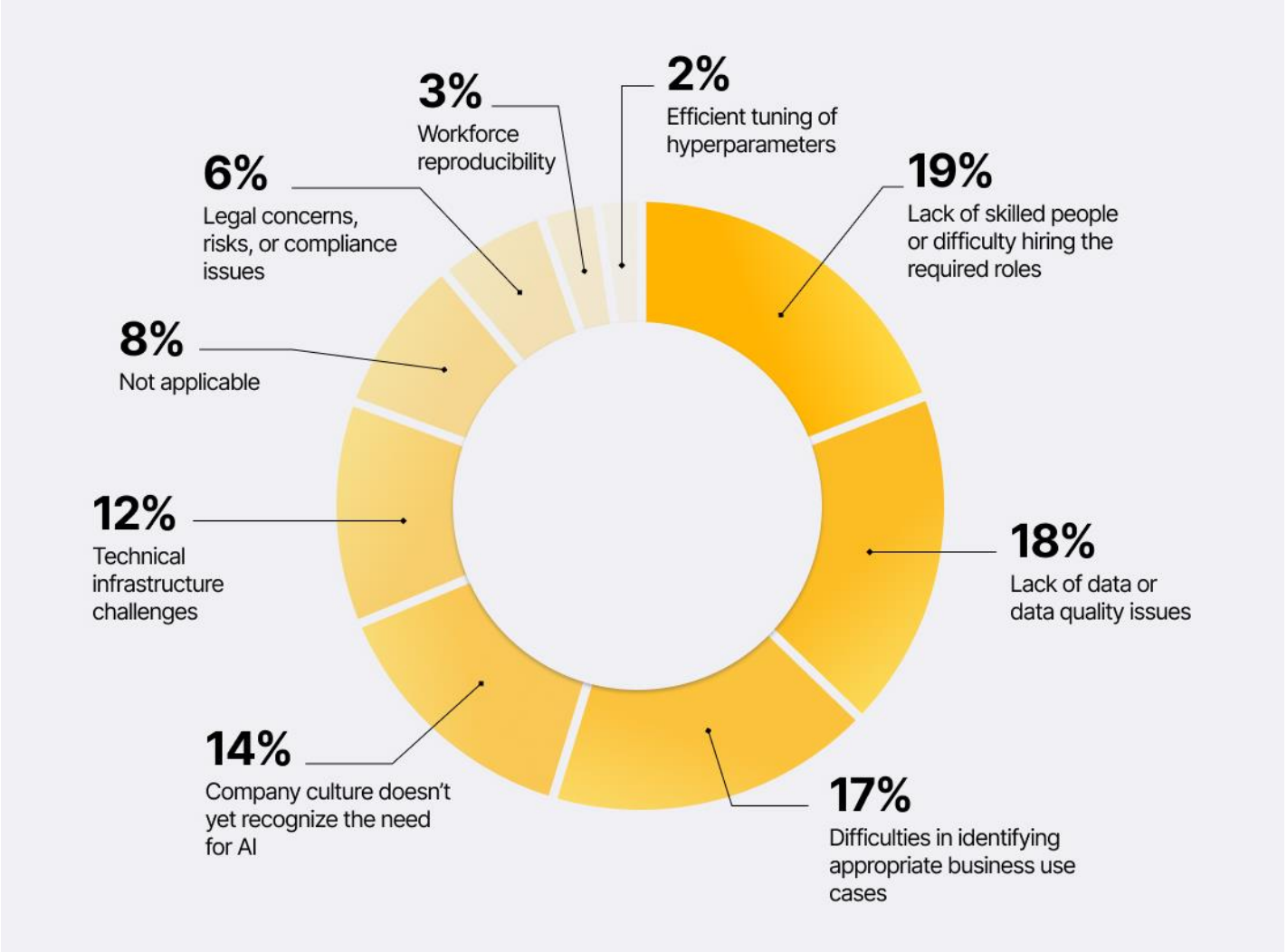
Key topics for successful agentic transformation



Framework for transformation

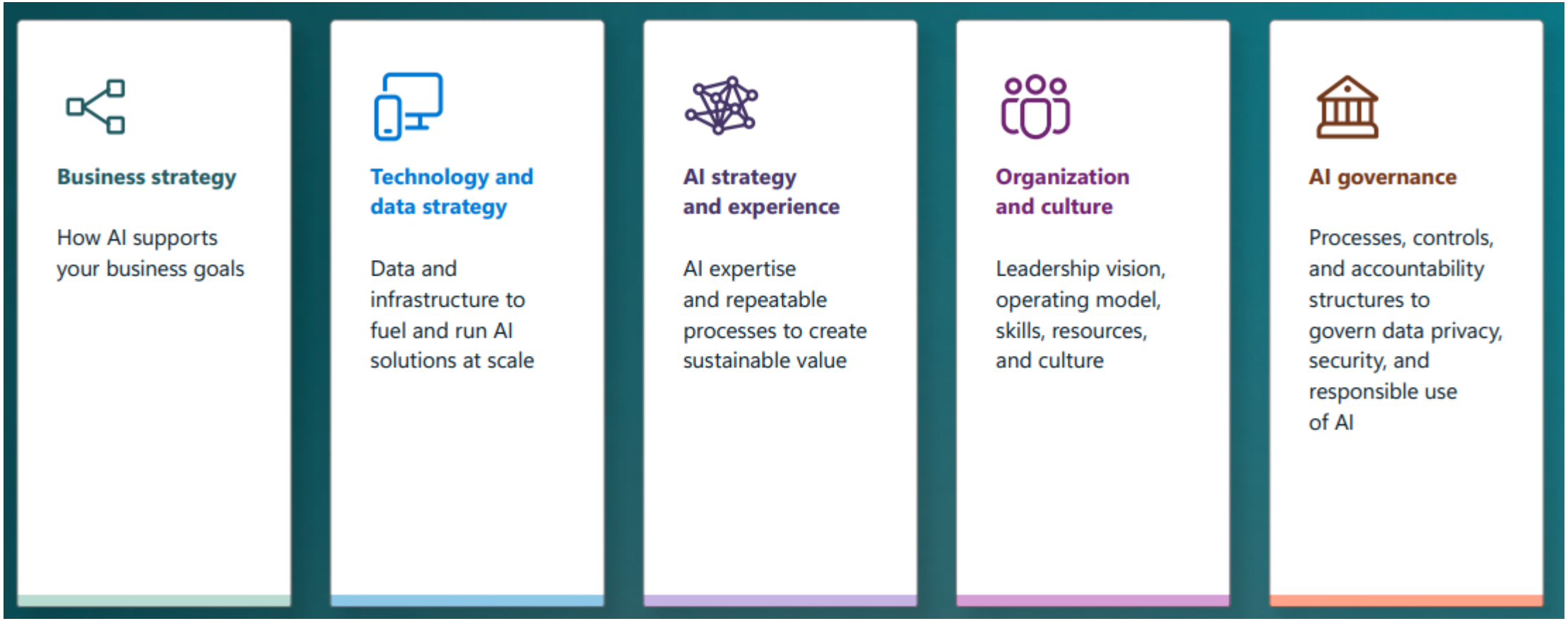


What are the pain points ?

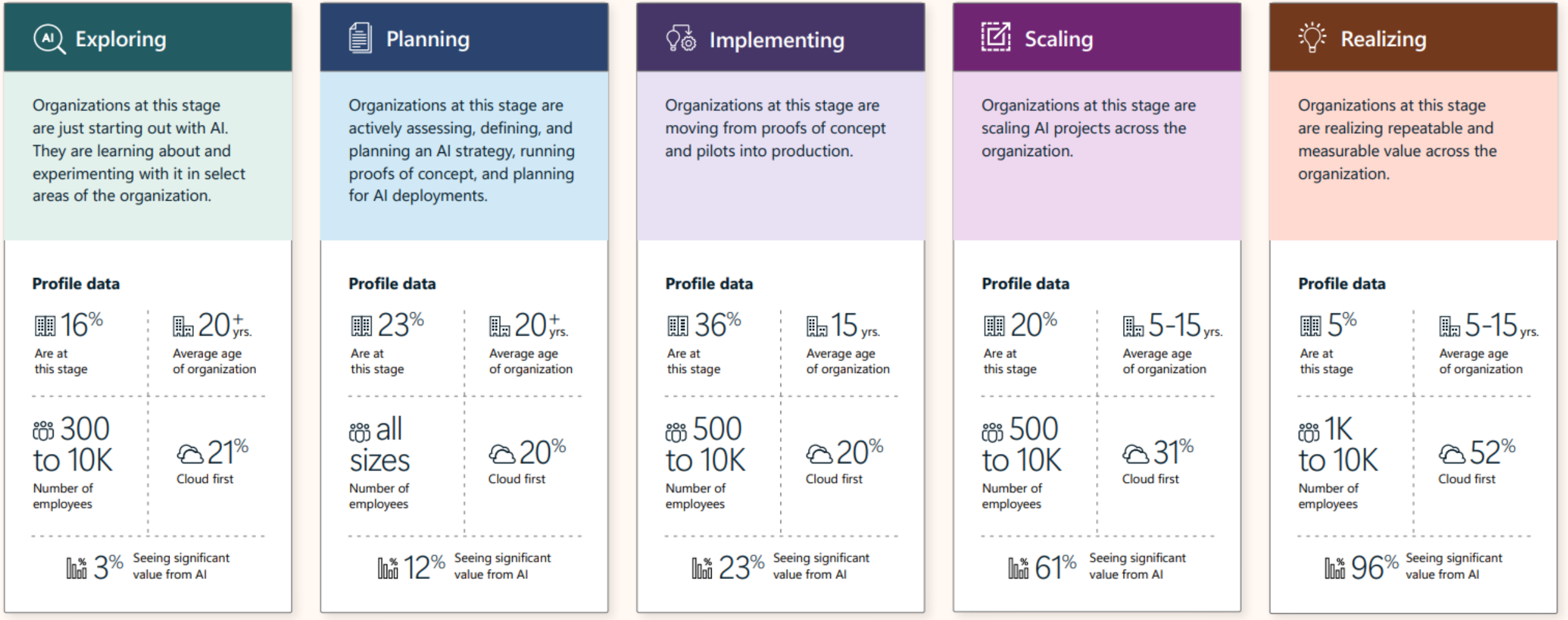


AI maturity

Pilars of AI maturity readiness



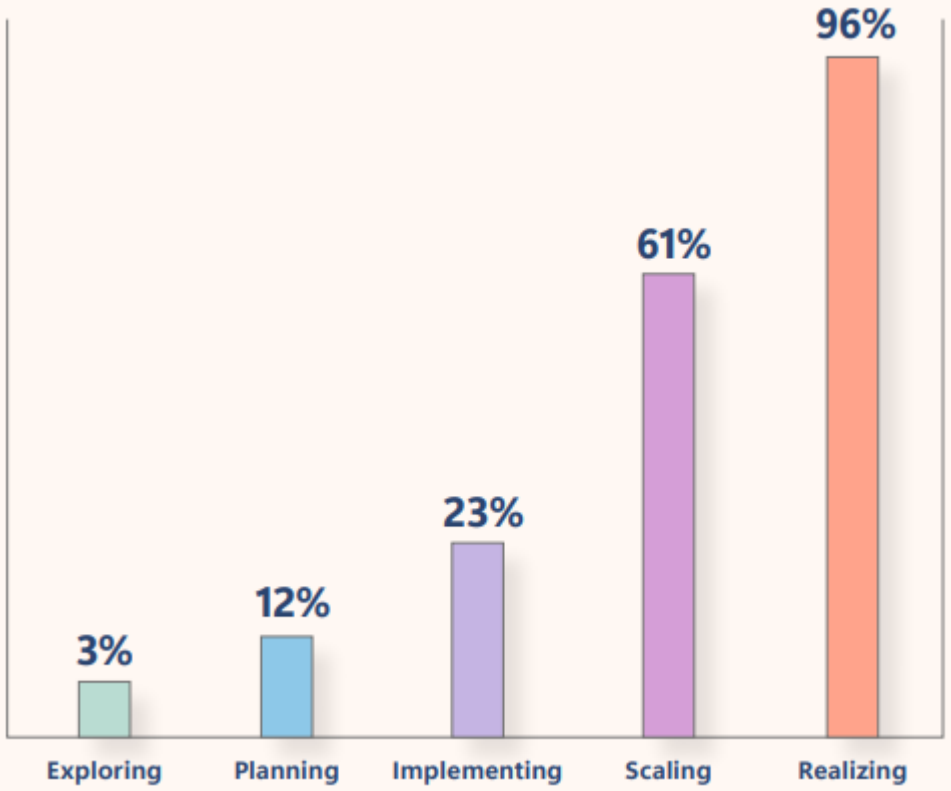
AI readiness stages



Business Strategy

- **Define the business problem first**: Clearly identify what you're solving for to guide use case selection, prioritization, success metrics, and AI investment decisions.
- **Align AI goals with strategic objectives**: Linking AI projects to core business goals like efficiency and revenue ensures executive support and funding.
- **Evolving priorities along the AI journey**: Early stages focus on aligning projects with objectives; later stages emphasize structured use case selection and approval.
- **Investment planning becomes critical**: While less urgent initially, a clear AI investment plan is essential during implementation to manage a growing portfolio of projects.

Stage	Top opportunities	Next area(s)
Exploring	• AI objectives support business objectives • AI used for real-time decision-making	• Prioritized, approved, and socialized use cases for AI • A clear investment plan for AI implementation across the business
Planning	• Prioritized, approved, and socialized use cases for AI	• AI used for real-time decision-making
Implementing	• Prioritized, approved, and socialized use cases for AI	• AI objectives support business objectives • AI used for real-time decision-making • A clear investment plan or AI implementation across the business
Scaling	• Prioritized, approved, and socialized use cases for AI	• A clear investment plan for AI implementation across the business
Realizing	• Prioritized, approved, and socialized use cases for AI	• A clear investment plan for AI implementation across the business



Percentage of organizations that report realizing value at each stage of AI readiness



Focus on growth increases as organizations realize value from AI

Tech & Data Strategy

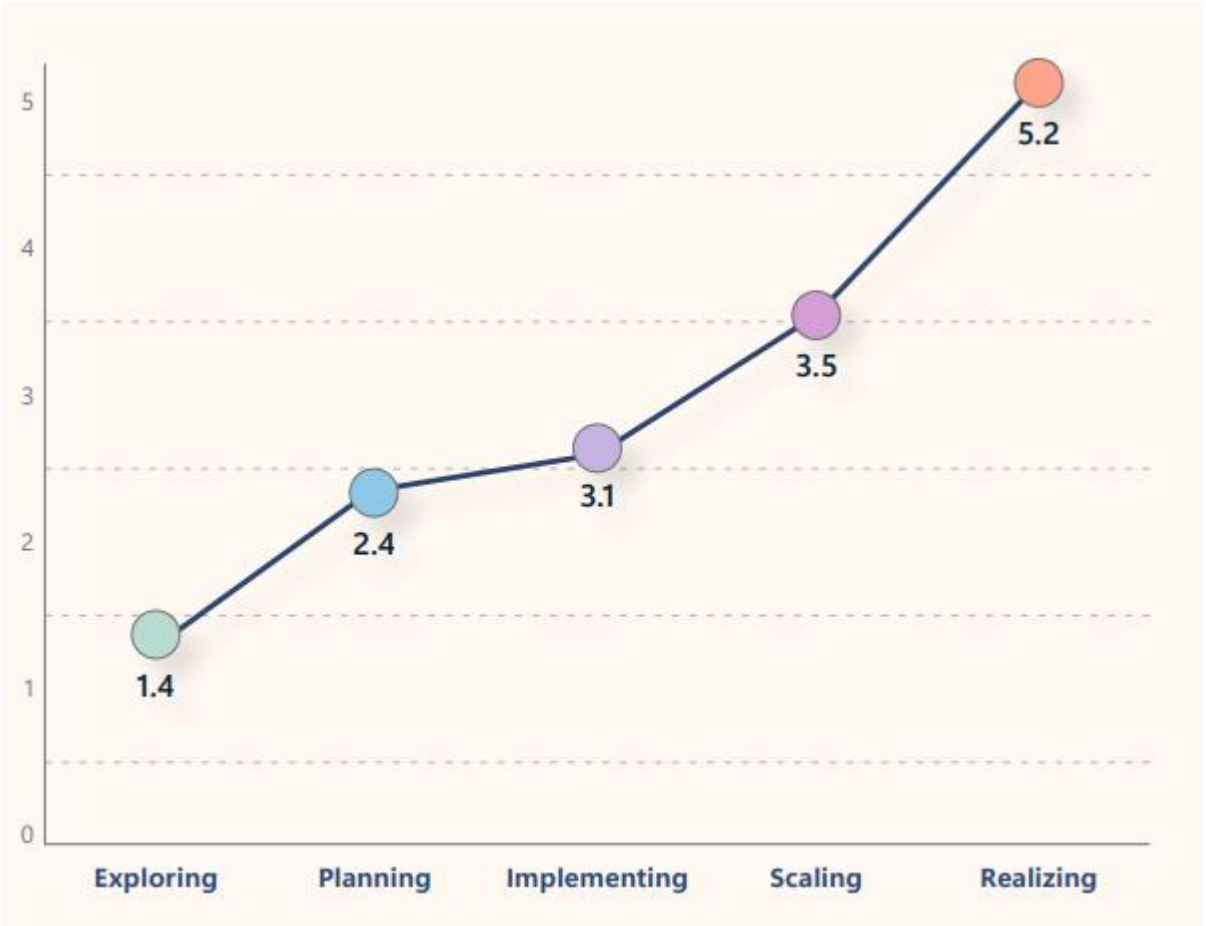
- **Data access is the foundation**: Quality data is the top priority from early exploration through implementation, later shifting focus to data format and relevance as initial access issues are resolved.
- **Evolving data concerns**: As organizations mature, the emphasis moves from obtaining data to ensuring it accurately represents target audiences and objectives.
- **Cloud infrastructure is essential for scale**: A robust cloud platform becomes critical during implementation to support large AI models and enable production-level deployment.
- **Cloud as the AI engine**: Computing power, analytics, storage, security, and performance from cloud infrastructure drive AI projects beyond proof-of-concept to deliver real business value.

Stage	Top opportunities	Next area(s)
Exploring	• Access to complete and relevant data for AI modeling purposes • Using AI for improving security	• Dedicated cloud infrastructure
Planning	• Access to complete and relevant data for AI modeling purposes	• Dedicated cloud infrastructure
Implementing	• Access to complete and relevant data for AI modeling purposes	• Dedicated cloud infrastructure • Data accurately represents relevant customers and business objectives
Scaling	• Data accurately represents relevant customers and business objectives	• Access to complete and relevant data for AI modeling purposes
Realizing	• Data accurately represents relevant customers and business objectives	• Access to complete and relevant data for AI modeling purposes • Having the right data in the right format

AI Strategy

- **Exploring stage priorities**: Focus on people (diverse business and tech roles) and processes (standard, repeatable methods for AI development and deployment).
- **Implementing stage shift**: Emphasis moves to aligning AI models with the right use cases to ensure value realization.
- **Scaling and realizing stages**: Repeatable processes regain top priority, now aimed at scaling workflows for systematic, repeatable ROI across the organization.
- **Higher stakes at later stages**: As AI adoption expands, standardized processes become critical to manage complexity and deliver consistent business impact.

Stage	Top opportunities	Next area(s)
Exploring	• Processes to create a standard repeatable process for development and deployment of AI • Diversity of roles and experiences of people involved in AI projects	Identifying AI models best suited for an organization's AI use cases
Planning	• Identifying AI models best suited for an organization's AI use cases	Processes and workflows to create a standard repeatable process for development and deployment of AI
Implementing	• Identifying AI models best suited for an organization's AI use cases	Diversity of roles and experiences of people involved in AI projects
Scaling	• Processes and workflows to create a repeatable process for development and deployment of AI solutions	Identifying AI models best suited for an organization's AI use cases
Realizing	• Processes and workflows to create a repeatable process for development and deployment of AI solutions	Identifying AI models best suited for an organization's AI use cases

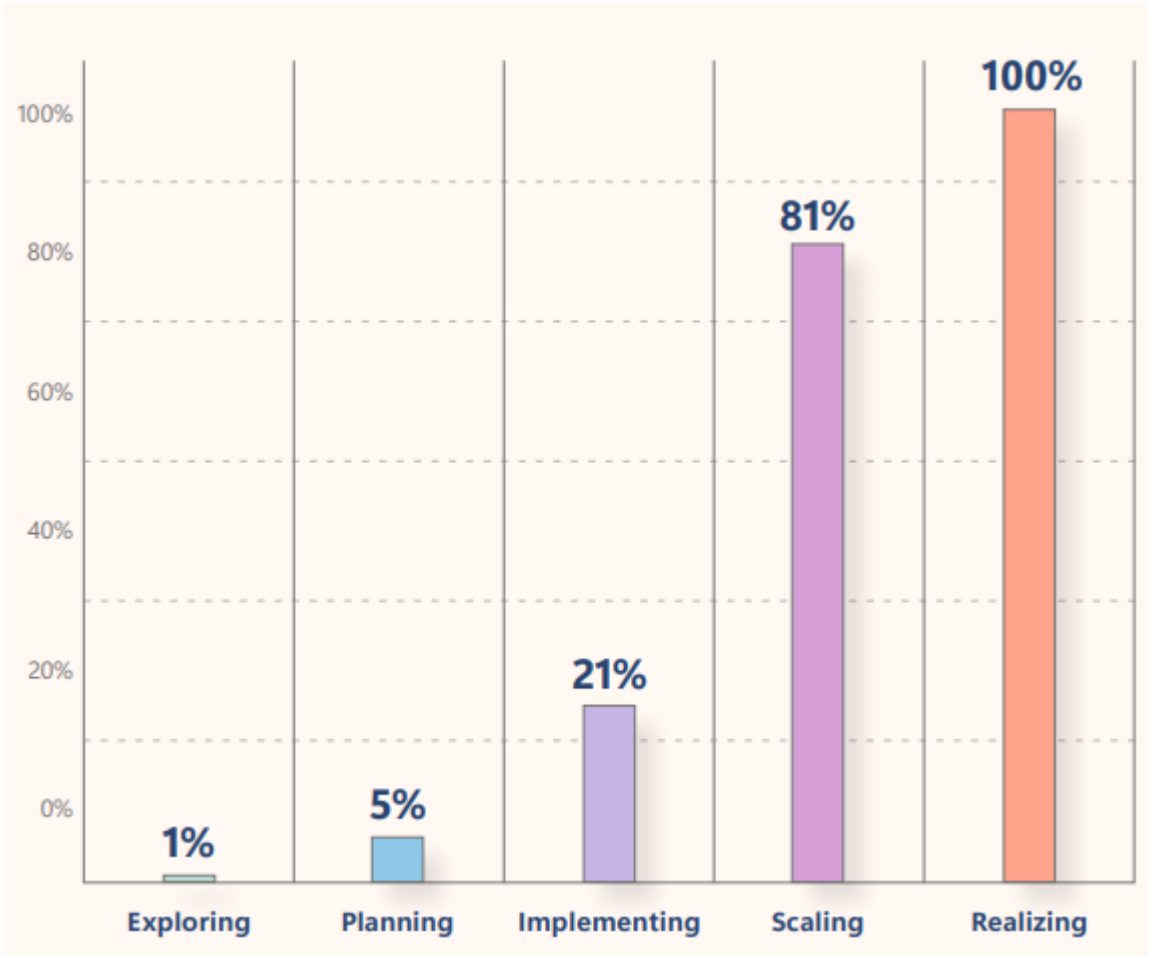


Average number of departments using AI in their day-to-day function

Organization and Culture

- **Leadership is critical for AI success**: Senior leaders significantly influence an organization's ability to create value with AI.
- **Clear vision matters**: At the "realizing" stage, 100% of leaders clearly communicate their AI vision and commitment, compared to only 1% at the "exploring" stage.
- **Leadership support complements other factors**: While essential, leadership does not replace other success factors like data, processes, and technology.
- **Strategy starts at the top**: Business objectives, investment plans, and resource allocation originate with leadership and require ongoing support.

Stage	Top opportunities	Next area(s)
Exploring	Leadership has clearly communicated vision and importance of AI	• Availability of experts to contribute to AI projects
Planning	Leadership has clearly communicated vision and importance of AI	• Availability of experts to contribute to AI projects
Implementing	Leadership has clearly communicated vision and importance of AI	• Availability of experts to contribute to AI projects
Scaling	Leadership has clearly communicated vision and importance of AI	• Availability of experts to contribute to AI projects
Realizing	Leadership has clearly communicated vision and importance of AI	• Availability of experts to contribute to AI projects • Employee understanding of how AI supports strategy



Percentage of organizations whose leadership clearly communicates vision and commitment to AI

Percentage of organizations that have appointed a chief AI officer

64% in the "realizing" stage

36% in the "scaling" stage

18% in the "implementing" stage

9% in the "planning" stage

6% in the "exploring" stage

AI Governance

Stage	Top opportunities	Next area(s)
Exploring	• Controls for ensuring transparency, explainability, and interpretability of results • Security and compliance for third party sharing of AI-generated data	• Assessing the impact of AI on people, organizations, and society • AI system accountability for bias, impacts, safety, and security
Planning	• Controls for ensuring transparency, explainability, and interpretability of results • Security and compliance for third party sharing of AI-generated data	• AI system accountability for bias, impacts, safety, and security
Implementing	• Controls for ensuring transparency, explainability, and interpretability of results • AI proactively prevents cyberattacks on infrastructure and data	• AI system accountability for bias, impacts, safety, and security
Scaling	• Systems to inform AI use cases, performance metrics, and limitations	• AI proactively prevents cyberattacks on infrastructure and data • System to address copyright and IP ownership • Controls for storage, processing, and sharing of sensitive information and personally identifiable information (PII) • Controls for ensuring transparency, explainability, and interpretability of results
Realizing	• Systems to inform AI use cases, performance metrics, and limitations	• Controls for storage, processing, and sharing of sensitive information and personally identifiable information (PII)

AI maturity is also influenced by industry

Financial services

Spends the most on AI, with 61% of projects led by AI adoption in data and analytics departments.

Profile data

- 16% Have a chief AI officer
- 7% See consistently high ROI from AI
- $2.48M AI spend/month (mean)
- 18% Cloud first
- 61% Data and analytics — Functional driver for AI

Healthcare

Over half of AI readiness in this sector is driven by IT investment.

Profile data

- 18% Have a chief AI officer
- 5% See consistently high ROI from AI
- $2.22M AI spend/month (mean)
- 20% Cloud first
- 53% IT — Functional driver for AI

Manufacturing

Reports the most engaged leadership, with 28% of companies reporting to have a chief AI officer.

Profile data

- 28% Have a chief AI officer
- 8% See consistently high ROI from AI
- $1.99M AI spend/month (mean)
- 17% Cloud first
- 53% IT — Functional driver for AI

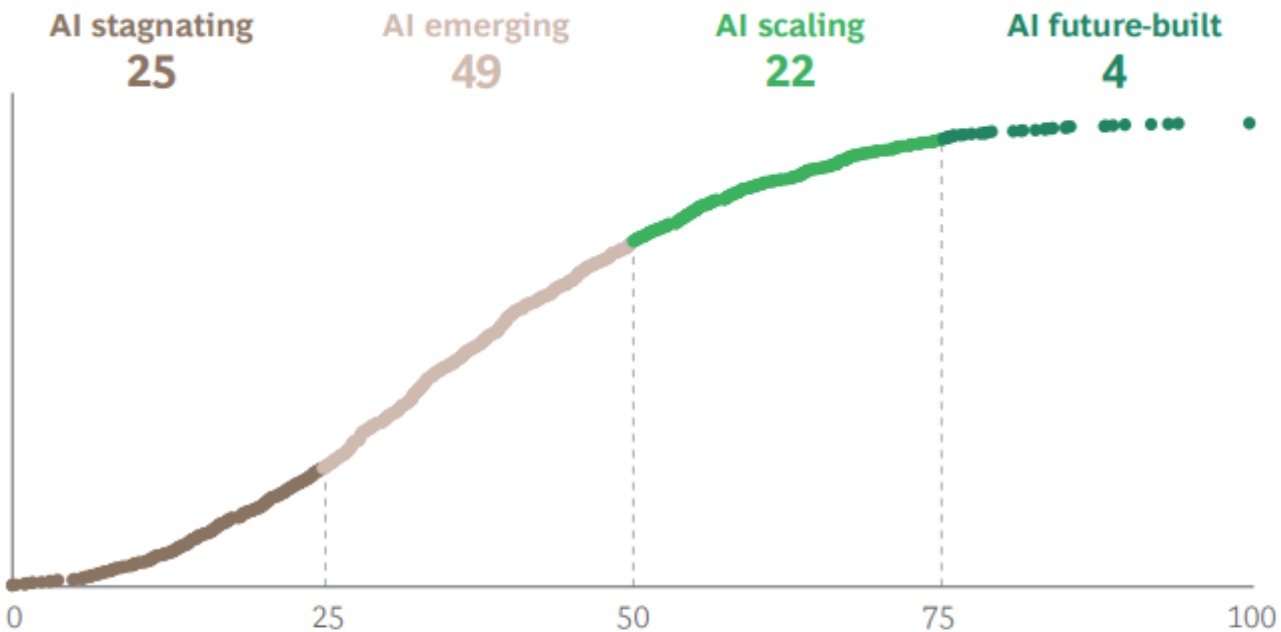
Retail

This sector sees the highest value from AI, with marketing functions driving adoption.

Profile data

- 21% Have a chief AI officer
- 10% See consistently high ROI from AI
- $1.83M AI spend/month (mean)
- 25% Cloud first
- 60% Marketing — Functional driver for AI

Maturity stage (% of companies)



Are taking minimal or no AI action, lack foundational capabilities, and are not generating value	Have developed foundational capabilities and started initial experimentation but are struggling to scale and generate value	Have developed an AI strategy and advanced capabilities, and are scaling them effectively while starting to generate value	Are at the forefront of AI innovation, systematically building cutting-edge AI capabilities across functions and consistently generating substantial value

Value achieved

Revenue	**50%** higher revenue growth (3-year average)
Total shareholder return	**60%** higher 3-year TSR
Returns	**40%** higher RoIC (3-year average)
Innovation	**1.9x** more patents
Employee satisfaction	**1.4x** better overall Glassdoor indicator

L’OREAL Case study


CES

L'ORÉAL

AI TRANSFORMATION IN ACTION

A CASE STUDY ON BEAUTY, TECHNOLOGY AND A MORE INCLUSIVE TOMORROW

CREATE THE BEAUTY
THAT MOVES THE WORLD



1. L’Oréal as a Company

A global leader in beauty

#1
beauty company in the world

€41.2B
revenue in 2023

~90,000
employees worldwide

150+
countries

Our purpose

“Create the beauty that moves the world”



A portfolio of iconic brands

From mass market to luxury, across all beauty categories

L'ORÉAL PARIS

GARNIER

MAYBELLINE NEW YORK

NYX PROFESSIONAL MAKEUP

KÉRASTASE PARIS

LANCÔME PARIS

YVES SAINT LAURENT BEAUTÉ

BIOTHERM

CeraVe DEVELOPED WITH DERMATOLOGISTS

LA ROCHE-POSAY LABORATOIRE DERMATOLOGIQUE

VICHY LABORATOIRES

shu uemura art of hair

A unique multi-brand, multi-channel model
reaching all consumers, everywhere.

2. The Journey to AI

From digital experimentation to AI at scale

2010s

Digital foundation

- E-commerce
- Social & influencer
- Data and consumer insights

2020

Accelerated by the pandemic

- Surge in online beauty
- Virtual try-on
- Scalable digital tools

2023–2024

AI in the spotlight

- Beauty Genius (GenAI)
- Personalised recommendations
- AI for formulation and content creation

2025–2026

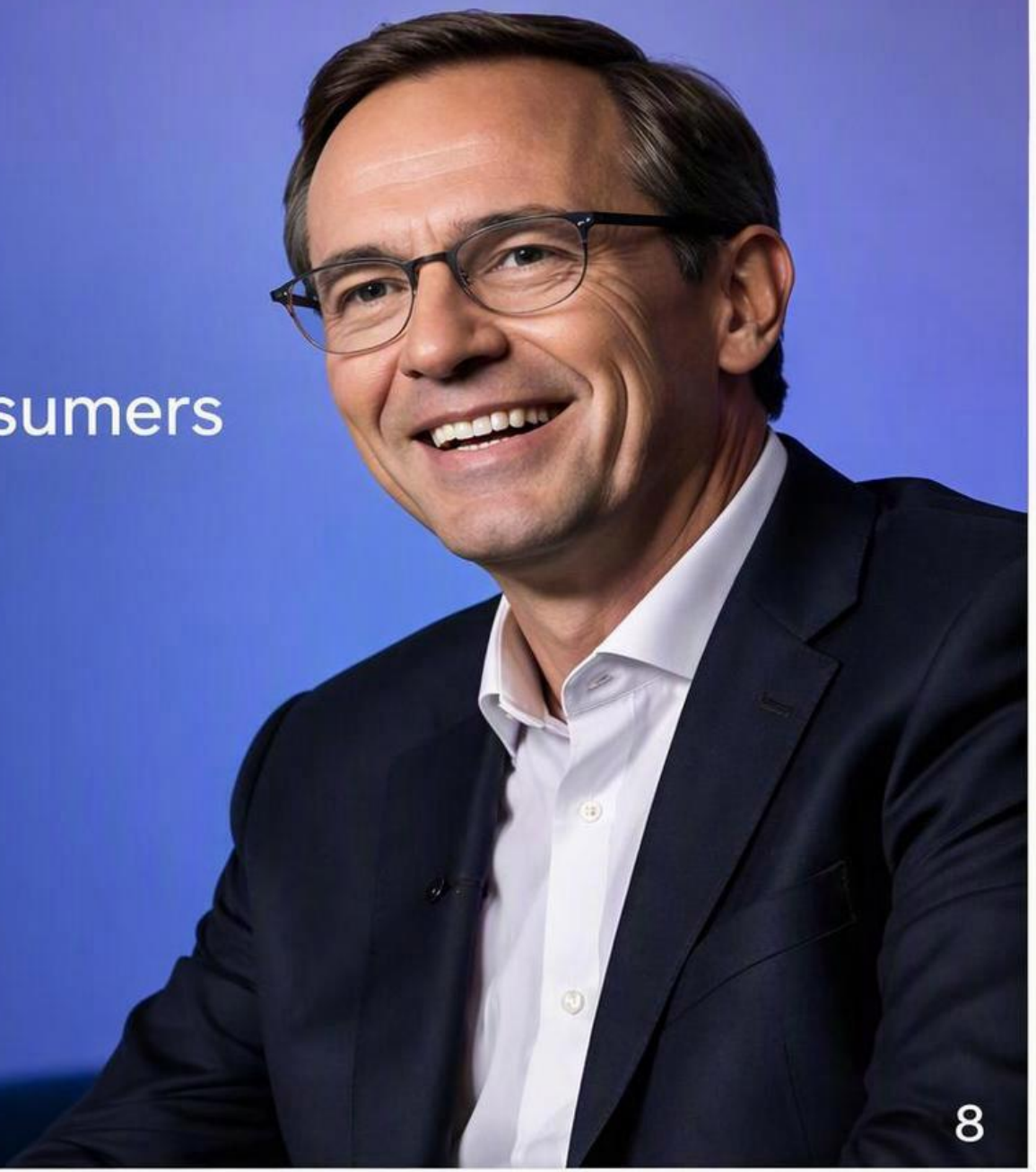
AI at scale

- Integrated across R&I, marketing, supply chain, retail
- Beauty Tech devices with AI

A human-centric approach: AI to augment creativity, expertise and inclusion.

“At L’Oréal, we believe technology can expand the limits of what is possible, help improve the lives of consumers around the world, and meet individuals’ infinite beauty needs and aspirations.”

Nicolas Hieronimus
Chief Executive Officer, L’Oréal
CES 2024 Keynote



3. Beauty Tech Initiatives

AI-powered experiences for more personalized, inclusive and effective beauty



Beauty Genius

GenAI beauty assistant for advice, diagnostics and virtual try-on

CONSUMER EXPERIENCE



At-home devices

Science-backed devices combining AI and light technologies (CES 2026)

BEAUTY TECH DEVICES



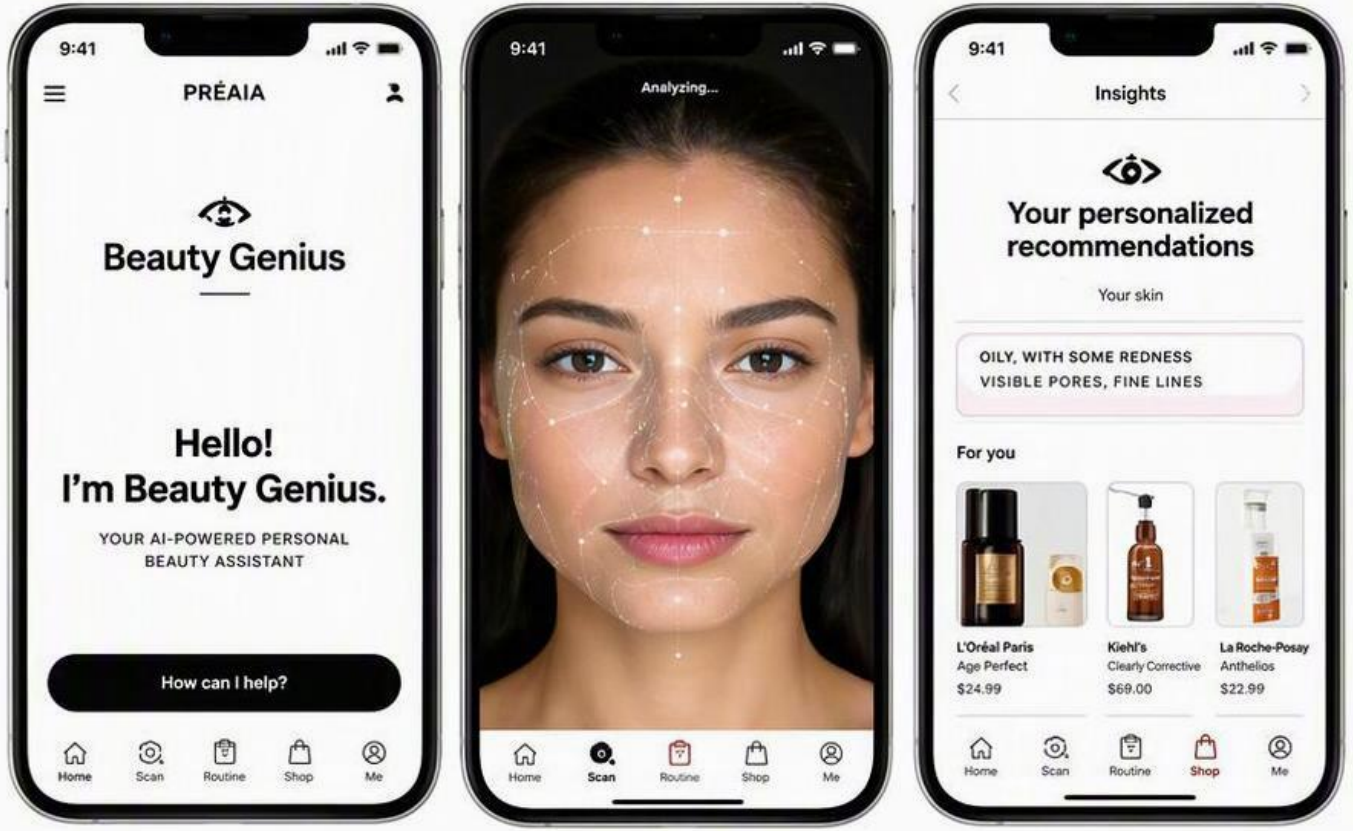
AI for R&I

From ingredient discovery to formulation optimization using AI and data

PRODUCT INNOVATION

Focus: Beauty Genius (CES 2024)

An AI-powered personal beauty assistant



- Personalized beauty advice
- Skin diagnostics (AI)
- Virtual try-on (makeup, hair color, skincare)
- Product recommendations across L'Oréal brands
- More inclusive beauty for all skin tones and types

AI that understands you, celebrates you.

Focus: Beauty Tech Devices (CES 2026)

Science and AI for next-generation beauty experiences



Light Straight + Multi-styler

- Infrared light technology
- Exceptional styling results
- Lower heat (max 160°C) to protect hair
- CES 2026 Innovation Award



LED Face Mask

- Proprietary LED + infrared technology
- Visible skin benefits
- At-home professional-grade care
- CES 2026 Innovation Award

Other AI-powered initiatives



Inclusive beauty

AI for shade matching and representation across skin tones



Sustainable innovation

AI to optimize formulations and reduce environmental impact



Marketing & content

GenAI for personalized content and at scale creativity



Supply chain & demand forecasting

AI for better forecasting, agility and reduced waste

4. Lessons Learned

What L'Oréal has learned on its AI journey



Start from the consumer

Focus on real needs and tangible benefits



Combine science and creativity

AI enhances human expertise, it doesn't replace it



Build trust and responsibility

Be transparent, ethical and inclusive



Scale with purpose

Drive business impact and positive societal and environmental outcomes

Key success factors

- ✓ Strong leadership and clear vision
- ✓ Unique combination of beauty expertise, science and technology
- ✓ Agile experimentation (e.g., CES as a showcase platform)
- ✓ Focus on inclusivity and accessibility
- ✓ Partnerships with leading tech players and startups
- ✓ Integration across the value chain (R&I, marketing, retail, operations)

AI works when it's human-centric, responsible and embedded in the business.